

		malice are satisfied.”.) Accordingly, Defendants’ anti-SLAPP motion is granted. Defendants shall give notice.
7.	2026-1540706 Inszone Insurance Services LLC vs. Torres	The motion by Plaintiff InsZone Insurance Services LLC (“Plaintiff”) for a preliminary injunction against Defendant Julio C. Torres (“Defendant”) and his agents, principals, partners, attorneys, servants, employees, representatives, and all those persons and/or entities acting under, in concert, with or for him is denied. As an initial matter, the Court notes Plaintiff electronically served the notice of motion, supporting papers, and reply on Defendant. Pursuant to CRC Rule 2.251(c)(3)(B), Defendant is self-represented and is “to be served by non-electronic methods unless [he] affirmatively consent[s] to electronic service.” There is no showing that Defendant affirmatively consented to electronic service. Defendant served and filed a timely opposition without objecting to service. The Court considers Plaintiff’s moving papers. However, the Court declines to consider Plaintiff’s improperly filed reply. Plaintiff may respond to Defendant’s opposition during oral argument. <u>General principles applicable to preliminary injunctions</u> Pursuant to Code of Civil Procedure section 526, subdivision (a), an injunction “may be granted in the following cases: (1) When it appears by the complaint that the plaintiff is entitled to the relief demanded, and the relief, or any part thereof, consists in restraining the commission or continuance of the act complained of, either for a limited period or perpetually. (2) When it appears by the complaint or affidavits that the commission or continuance of some act during the litigation would produce waste, or great or irreparable injury, to a party to the action. (3) When it appears, during the litigation, that a party to the action is doing, or threatens, or is about to do, or is procuring or suffering to be done, some act in violation of the rights of another party to the action respecting the subject of the action, and tending to render the judgment ineffectual. (4) When pecuniary compensation would not afford adequate relief. (5) Where it would be extremely difficult to ascertain the amount of compensation which would afford adequate relief. (6) Where the restraint is necessary to prevent a multiplicity of judicial proceedings. (7) Where the obligation arises from a trust.”

The burden is on plaintiff to show all elements necessary to support issuance of the injunction. (*O'Connell v. Superior Court* (2006) 141 Cal.App.4th 1452, 1481.) "A superior court must evaluate two interrelated factors when ruling on a request for a preliminary injunction: (1) the likelihood that the plaintiff will prevail on the merits at trial and (2) the interim harm that the plaintiff would be likely to sustain if the injunction were denied as compared to the harm the defendant would be likely to suffer if the preliminary injunction were issued." (*Smith v. Adventist Health System/West* (2010) 182 Cal.App.4th 729, 749.)

Plaintiff did not show a likelihood of prevailing on the merits

In Plaintiff's motion, Plaintiff contends Plaintiff will prevail on Plaintiff's contractual causes of action and misappropriation of trade secrets cause of action.

First cause of action for breach of contract – Purchase Agreement and second cause of action for breach of contract – Producer Agreement

"[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.)

Plaintiff contends Defendant breached section 6.1 of the Purchase Agreement and section 4 of the Producer Agreement. (Memorandum, 7:25-7.)

Plaintiff did not offer any evidence to show Plaintiff's performance or excuse for nonperformance. In addition, Plaintiff's evidence does not show Defendant breached the confidentiality provisions of either the Purchase Agreement or the Producer Agreement. At best, Plaintiff showed one insured transferred its business to Defendant in 2026. (Thies Decl., ¶ 23, Exhibit 1.) The submitted evidence also shows one insured reversed the transition of the policy back to Defendant, but there is no showing that Defendant solicited the reversal. (Torres Decl., Exhibit B.)

There is no showing that Defendant solicited any of the insured. There is no showing that Defendant used information obtained during Defendant's employment by Plaintiff for Defendant's business. Plaintiff did not submit sufficient evidence to show Defendant breached the confidentiality provisions of these two agreements.

		To the extent Plaintiff contends Defendant failed to remit payments owed to Plaintiff, there is no evidence showing what money was owed or the amount owed. The Court notes section 6.2 of the Purchase Agreement references a schedule 6.2, but neither party submitted a copy of this schedule. Plaintiff did not show a probability of prevailing on these two causes of action. <i>Third cause of action for misappropriation of trade secrets</i> “Under the UTSA, a prima facie claim for misappropriation of trade secrets requires the plaintiff to demonstrate: (1) the plaintiff owned a trade secret, (2) the defendant acquired, disclosed, or used the plaintiff’s trade secret through improper means, and (3) the defendant’s actions damaged the plaintiff.” (<i>Sargent Fletcher, Inc. v. Able Corp.</i> (2003) 110 Cal.App.4th 1658, 1665.) Civil Code section 3426.1, subdivision (b) defines the term “misappropriation” as follows: (1) Acquisition of a trade secret of another by a person who knows or has reason to know that the trade secret was acquired by improper means; or (2) Disclosure or use of a trade secret of another without express or implied consent by a person who: (A) Used improper means to acquire knowledge of the trade secret; or (B) At the time of disclosure or use, knew or had reason to know that his or her knowledge of the trade secret was: (i) Derived from or through a person who had utilized improper means to acquire it; (ii) Acquired under circumstances giving rise to a duty to maintain its secrecy or limit its use; or (iii) Derived from or through a person who owed a duty to the person seeking relief to maintain its secrecy or limit its use; - or (C) Before a material change of his or her position, knew or had reason to know that it was a trade secret and that knowledge of it had been acquired by accident or mistake. Section 3426.1, subdivision (d) defines a trade secret to mean: “information, including a formula, pattern, compilation, program, device, method, technique, or process, that: (1) Derives independent economic value, actual or potential, from not being generally known to the public or to other persons who can obtain economic value from its disclosure or use; and
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		(2) Is the subject of efforts that are reasonable under the circumstances to maintain its secrecy.” Plaintiff did not show Defendant improperly acquired, disclosed, or used Plaintiff’s trade secrets. Plaintiff did not show what trade secrets Defendant used. The Court presumes the trade secret at issue is the client list Plaintiff purchased from Defendant. Plaintiff did not show a probability of prevailing on this cause of action. <u>Pecuniary compensation inadequate</u> To the extent the motion is based on Defendant not paying some amount owed to Plaintiff, Plaintiff did not show pecuniary compensation would be inadequate. Even if Plaintiff had shown Defendant was improperly using confidential information and/or trade secrets to solicit business or interfere with Plaintiff’s business, Plaintiff did not show pecuniary compensation would be inadequate. No evidence submitted to show any harm to Plaintiff’s goodwill. In the event Plaintiff prevails and shows misappropriation or refusal to comply with the agreements, Defendant could recover the amounts paid to Plaintiff and other monetary damages. <u>Balancing of harm</u> The Court need not reach the issue of whether the balance of harms favors granting a preliminary injunction when Plaintiff does not show a likelihood of prevailing on the merits. (<i>Yu v. University of La Verne</i> (2011) 196 Cal.App.4th 779, 793.) For the reasons set forth above, Plaintiff’s motion for a preliminary injunction is denied. Defendant shall give notice.
8.	2023-1353566 Holiday vs. The City of Newport Beach	Defendant City of Newport Beach’s motion for summary judgment or adjudication on the second amended complaint (“SAC”) of plaintiffs Adam and Julie Holiday, trustees of the Holiday Family Revocable trust is denied. The City’s request for judicial notice is granted. In short, the court finds there are triable issues of fact on the grounds for summary judgment/adjudication raised in the City’s motion. <u>Facts</u>